Kestrel Ridge Outdoor Co.
Annual Report 2022

Strong demand and channel expansion

Fictional company. Synthetic data generated for a software demonstration.

Letter to Shareholders

Kestrel Ridge Outdoor Co. delivered record net revenue of $412.6 million, up 11.1% from $371.5 million in 2021. Demand for camping and hiking gear stayed high after the pandemic-era boom in outdoor recreation, and our wholesale partners rebuilt inventories throughout the year.

Direct-to-consumer sales reached 35.2% of revenue. We opened two flagship stores, in Denver and Portland, bringing our store count to 6, and relaunched our e-commerce site. Gross margin was 50.3%.

Ocean freight costs peaked in the first half before easing, and we ended the year with elevated inventory, which we expect to work down in 2023.

Dana Whitfield, Chief Executive Officer

Financial Highlights

Net revenue for 2022 was $412.6 million (up 11.1%). Gross margin was 50.3%, and direct-to-consumer sales were 35.2% of net revenue.

Region	2022 revenue	Change
North America	$249.8 million	n/a
Europe	$115.1 million	n/a
Asia-Pacific	$47.7 million	n/a
Total	$412.6 million	up 11.1%

Channel	2022 revenue	Share
Direct-to-Consumer	$145.2 million	35.2%
Wholesale	$267.4 million	64.8%

Product Line Review

Tents & Shelters. Revenue was $111.8 million. Family camping tents led the category; the Aspen 4P tent was our best-selling product.

Packs & Bags. Revenue was $89.0 million. Daypacks grew fastest as hiking participation rose.

Apparel. Revenue was $143.7 million. Insulated jackets drove the strong fourth quarter.

Footwear. Revenue was $68.1 million. Hiking boots performed well; trail-running remains a gap in our range.

Risk Factors

Supplier concentration. Approximately 42% of our finished-goods units were produced by a single contract manufacturer, Tanh Loc Manufacturing in Vietnam. A disruption at this facility would materially affect our ability to meet demand.

Customer concentration. Our largest wholesale partner, Summit Outfitters, accounted for 17% of net revenue. A reduction in its orders would significantly affect our results.

Freight and input costs. Ocean freight rates and nylon and polyester prices were volatile in 2022. Increases we cannot pass on to customers reduce gross margin.

Foreign exchange. About a quarter of revenue is earned in euros and other non-US currencies, while most product costs are in US dollars.

Weather and seasonality. Sales of tents and packs depend on spring and summer camping seasons, and apparel on cold winters. Unusual weather can shift demand between quarters.

Outlook

For 2023 we expect revenue to be broadly flat as wholesale partners reduce the inventory they built in 2022, partly offset by continued direct-to-consumer growth.

Operating Metrics

Metric	2022
Flagship stores	6
Employees	1,140
Wholesale doors	2,350